PRODUCT AND COMMISSION SPECIFICATION

Individual Life and Annuity -- Agency Distribution

Compensation Plan CP-114, Revision 3

Effective: July 1, 2025 Supersedes: CP-114 Rev. 2 (2019)

Owner: Agency Compensation Distribution: Commission Operations

1. SCOPE

This specification sets out the products available for sale through the career agency channel and the commission payable to writing agents on those products.

2. PRODUCTS

Code	Product	Line	Basis
TERM-20	20-Year Term Life	Life	Flat rate
WL-PAR	Participating Whole Life	Life	Tiered
FIA-7	7-Year Fixed Indexed Annuity	Annuity	Tiered

Premium for commission purposes is the annualized planned premium shown on the policy schedule. For FIA-7 the single premium is treated as the annualized premium.

3. PREMIUM TIERS

Tiered products pay a first-year rate that depends on the premium tier of the policy at issue:

- Tier 1 (T1): annualized premium under $50,000.
- Tier 2 (T2): annualized premium of $50,000 or more.

The tier is fixed at issue and does not change if premium is later adjusted.

4. COMMISSION RATES

Product	Tier	Rate	In effect
TERM-20	--	15.00%	Jan 1, 2024
WL-PAR	T1	45.00%	Jan 1, 2020 - Jun 30, 2025
WL-PAR	T1	40.00%	Jul 1, 2025
WL-PAR	T2	30.00%	Jan 1, 2020
FIA-7	T1	6.00%	Jan 1, 2020
FIA-7	T2	4.50%	Jan 1, 2020

4.1 For tiered products the rate is the rate in effect on the policy issue date. A policy issued on the date a new rate takes effect is paid at the new rate.

4.2 Commission is paid monthly. The monthly commission for an agent on a policy is one twelfth of the annualized premium, multiplied by the rate, multiplied by the agent's split percentage, rounded to the cent.

4.3 Where two or more agents share a policy, split percentages must be recorded for every agent and must total exactly 100%.

5. MONTHLY LIMIT

Total commission payable to any one agent for a calendar month, across all policies, is limited to $2,500.00. Amounts above the limit are not carried forward.

6. CHARGEBACKS

6.1 When a policy lapses or is surrendered during the first policy year, commission already paid to the writing agents on that policy is charged back according to the number of months the policy was in force:

Months in force	Chargeback
1 through 6	100% of commission paid
7 through 12	50% of commission paid
13 and later	None

6.2 The chargeback is booked in the month the lapse is processed and is shared among the agents in the same proportion as the commission was paid.

7. APPROVAL

Agency Compensation _____ Date _____

Product Actuarial _____ Date _____

Commission Ops _____ Date _____